I sold at 40.54 for a 24% profit. Two weeks later, the company surprised with better-than-expected earnings, and the stock went vertical for two days, then continued moving higher at about 30 degrees.

I had a perfect entry and perfect exit according to my trading plan, but I left 34% additional profit unclaimed because I sold too early. Of course, if earnings had gone the other way, selling when I did would have been timely. I made the right choice.

- Lesson: If you can time the market transition from bear to bull, you can make big gains.

Pfizer

With Pfizer (PFE) in 2005, the stock formed an ascending triangle. From my notebook: “This has moved beyond the breakout, but I consider it a good buy. This also pays a dividend, and I consider it a longer term holding. Keep the stop farther away to let this work higher.”

Getting in late (5% above the breakout) meant bad news when the stock crested 2% above where I bought and eased lower. The stock hit my stop, and I took a 6% loss. The stock continued down another 25% below my buy price. I did collect one dividend payment, though.

- Lesson: If you can't buy in at the breakout price, then consider abandoning the trade unless there's a compelling reason to buy (like after a throwback completes or if you plan to hold for a long time).

Lest these trades made you think I didn't make much money trading ascending triangles, I bought Balchem Corp. (BCPC) using a buy stop above the breakout price. It triggered on the day of breakout in mid-2012, and I rode the stock upward for a 43% gain. In Headwaters (HW) I made 54%, Health Management Systems (HMSY) 34%, Textron (T) 44%, and 67% in XL Group.

Sample Trade

Dan is an investor with a few years of market experience. He is new to technical analysis and discovered ascending triangles by accident.